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2. The Balance of Payments councils consists of
   (a) Current Account
   (b) Capital Account
   (c) Receipts and Payments Account
   (d) Both Current Account and Capital Account

3. Foreign capital long- term loan and foreign currency reserve are recorded under
   (a) Official Capital
   (b) Private Capital
   (c) Banking Capital
   (d) Both Private and Official Capital

4. The term official capital includes
   (a) RBI holdings of foreign currencies
   (b) Special Drawing Rights held by the Government
   (c) Both A and B
   (d) Foreign Investment

5. Balance of payments surplus indicates
   (a) Exports are more than the Imports
   (b) Imports are more than Exports
   (c) Exports and Imports are at Equilibrium
   (d) Exports and Imports are above Equilibrium

Answer

1. (a) 2. (d) 3. (b) 4. (c) 5. (a)

II. Very Short Answer Questions

1. What do you mean by Balance of payments?
2. What do you mean by Balance of trade?
3. Define Balance of payments
4. What is the composition of private capital?
5. Mention the components of banking capital.
6. Mention the components of official capital.

III. Short Answer Questions

1. Why is Balance of payment prepared?
2. What does Balance of payment disclose?
3. What are the credit items shown in currents accounts?
4. State the components of capital account.

IV. Long Answer Questions

1. Write down the structure of capital account
2. Distinguish balance of payment and balance of trade
3. Highlight the features of balance of trade.

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